



INSURANCE BROKERAGE | RISK CONSULTING
A DIVISION OF **EPIC**

T5 Construction Services, LLC

T5 Data Centers, LLC

Renewal Proposal

Policy Period

7/1/2023 - 7/1/2024

Client Executive: Gregg Bundschuh

Broker: Brian Donald

Meeting Date: 06/05/2023



Renewal Strategy

During our pre-renewal meetings held on Monday, February 27, 2023, we discussed the following strategies for T5 Construction Services, LLC and T5 Data Centers, LLC Professional/Pollution Liability, Property/Casualty, and Executive Liability insurance renewals:

	Option 1: Incumbent	Option 2: Hybrid	Option 3: Market
Description:	Negotiate only with the existing insurer to develop a renewal program	Negotiate early with the existing insurer based on agreed benchmarks; if benchmarks are not met go to option 3	Approach the existing insurer and competing insurers for renewal proposals
Recommended Frequency:	Applicable to most renewals if insurance program is competitive and insurer is providing good service.	Should be used as an alternative approach between options 1 and 3 if needed to maintain competition but insured is not likely to change insurers	Once every three to five years.

After reviewing each of the alternatives, we agreed to pursue Option 2. A summary of the renewal quotes is provided in the balance of the report.

Insurers Approached - All Other

Greyling Insurance Brokerage negotiated with the insurers listed below on behalf of T5 Construction Services, LLC and T5 Data Centers, LLC to obtain proposals for:

- Contractor's Professional & Pollution Liability
- T5CS Commercial General Liability
- T5CS Business Auto
- T5CS Umbrella
- T5CS 1st Excess Liability
- T5CS 2nd Excess Liability
- T5CS 3rd Excess Liability
- T5CS 4th Excess Liability
- Inland Marine (T5CS)
- T5DC Package
- T5DC Business Auto
- Workers Compensation
- Workers Compensation - CA Only
- T5DC Umbrella
- T5DC 1st Excess
- Tech E&O
- 1st Excess Tech E&O
- 2nd Excess Tech E&O
- 3rd Excess Tech E&O
- 4th Excess Tech E&O
- Business Travel Accident
- Executive Liability (Directors & Officers, Employment Practices, Fiduciary Liability)
- Commercial Crime
- Excess Crime

A summary of their responses is provided below:

Insurer	Coverages	Status
Columbia Casualty Company (CNA)	Contractor's Professional & Pollution Liability	Incumbent - Quoted
CNA Insurance Companies	T5DC Package General Liability & Property, Workers Comp, Auto, Umbrella	Incumbent - Quoted
Travelers Property Casualty Company of America	T5DC Excess Liability	Incumbent - Quoted
CNA Insurance Companies	T5CS Package General Liability & Property/Inland Marine, Auto, Umbrella	Incumbent - Quoted
RSUI Indemnity Company	T5CS 1st Excess Liability	Incumbent - Quoted
American Guarantee And Liability Insurance Company (Zurich)	T5CS 2nd Excess Liability	Incumbent - Pending

Insurers Approached - All Other

Travelers Property Casualty Company of America	T5CS 3rd Excess Liability	Incumbent - Pending
The Continental Insurance Company (CNA)	T5CS 4th Excess Liability	Incumbent - Pending
Zurich American Insurance Company	Business Travel Accident	Incumbent - Quoted
Westchester Surplus Lines Insurance Company (Chubb)	Executive Liability (Directors & Officers, Employment Practices, Fiduciary Liability)	Incumbent - Pending
Federal Insurance Company (Chubb)	Commercial Crime	Incumbent - Pending
Great American Insurance Company	Excess Crime	Incumbent - Pending
Beazley	Technology Errors & Omissions	Incumbent - Quoted
Indian Harbor Insurance Company (AXA XL)	Excess Technology Errors & Omissions	Incumbent - Quoted
Ironshore	2nd Excess Technology Errors & Omissions	Incumbent - Pending
E-Risk/Scottsdale	3rd Excess Technology Errors & Omissions	Incumbent - Pending
Applied/Texas Insurance	4th Excess Technology Errors & Omissions	Incumbent - Pending
The Continental Insurance Company (CNA)	Primary or Excess Technology Errors & Omissions	Pending

Explanation of Renewal Comparisons

The following pages contain a comparison of the expiring and renewal insurance programs. We have provided several comparisons to help you better understand and compare the results of the renewal negotiations. An explanation of each column on the tables on the following pages is below:

- **Expiring:** This column shows the initial premium including taxes and fees for the insured's policies as of the beginning of the current policy year and is based on the exposure data available at that time. Endorsements and mid-year changes are not included.
- **Expiring Adjusted:** The premiums in this column are for comparison purposes only. They are developed by multiplying the expiring policy rates by the renewal exposure information. The purpose is to provide an adjusted premium that is an apples-to-apples comparison to the renewal premium. For example, if a company's revenue went down 10 percent and its insurance premium went down five percent, then on an adjusted basis, the company is paying five percent more.
- **Renewal:** The premiums in this column are the amounts quoted by insurers including taxes and fees for the renewing policy term.

Throughout this document, we have used symbols to denote the renewal terms as they compare to expiring, which are:

Symbol	Meaning
✖	Not Covered
✓	Covered

****This report is a summary only and is not intended to supersede the carrier quotes, binders or policy. Information contained within the document does not include all terms, coverage, exclusion, limitations or conditions contained in the policy***

Renewal Summary

Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change Option I
T5 Construction Services Policies				
<u>Contractor's Professional & Pollution Liability</u>				
Insurer	Columbia Casualty Company (CNA)	Columbia Casualty Company (CNA)	Columbia Casualty Company (CNA)	N/A
Exposure Base - Prior 12 Months	\$27,600,000	\$87,400,000	\$46,600,000	216.7%
Blended Rate per \$100 of Exposure	\$0.12	\$0.12	\$0.06	-53.1%
Total Premium	\$34,818	\$110,258	\$51,724	-53.1%
<u>T5CS Commercial General Liability</u>				
Insurer	Continental Insurance Company (CNA)	Continental Insurance Company (CNA)	Continental Insurance Company (CNA)	N/A
Exposure Base (Subcontracted Work)	\$60,000,000	\$40,000,000	\$40,000,000	106.7%
Blended Rate per \$1,000 of Exposure	\$1.36	\$1.36	\$2.37	74.1%
Total Premium	\$105,758	\$130,750	\$94,838	-27.5%
<u>Inland Marine (T5CS)</u>				
Insurer	Continental Insurance Company (CNA)	Continental Insurance Company (CNA)	Continental Insurance Company (CNA)	N/A
Exposure Base - Total Values Insured	\$169,669	\$169,669	\$169,669	0.0%
Total Premium	\$1,327	\$1,327	\$1,546	16.5%
<u>T5CS Business Auto</u>				
Insurer	Continental Casualty Company (CNA)	Continental Casualty Company (CNA)	Continental Casualty Company (CNA)	N/A
Hired Auto (Rental Expenditures)	\$9,600	\$9,600	\$9,600	0.0%
Total Premium	\$708	\$708	\$770	8.8%

Renewal Summary

Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change Option I
<u>T5CS Umbrella</u>				
Insurer	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	N/A
Exposure Base - GL Premium	\$106,466	\$131,458	\$95,608	-27.3%
Blended Rate as Percentage of Exposure	47.73%	47.73%	49.55%	3.8%
Total Premium	\$50,817	\$62,746	\$47,374	-24.5%
<u>T5CS 1st Excess Liability</u>				
Insurer	RSUI Indemnity Company	RSUI Indemnity Company	RSUI Indemnity Company	N/A
Exposure Base - Underlying Umbrella Premium	\$50,817	\$62,746	\$47,374	-24.5%
Rate as Percentage of Underlying Premium	79.89%	79.89%	82.49%	3.2%
Total Premium	\$41,600	\$51,131	\$40,078	-21.6%
T5 Construction Program Cost	\$235,028	\$356,920	\$236,330	-33.8%
T5 Data Centers Policies				
<u>T5DC Package</u>				
Insurer	Valley Forge Insurance Company (CNA)	Valley Forge Insurance Company (CNA)	Valley Forge Insurance Company (CNA)	N/A
GL Exposure Base (Sales)	\$40,000,000	\$50,000,000	\$50,000,000	25.0%
Blended GL Rate per \$1,000 of Exposure	\$0.49	\$0.49	\$0.51	2.6%
GL Premium	\$19,691	\$24,614	\$25,252	2.6%
Property Exposure Base - Total Values Insured	\$1,337,669	\$2,337,669	\$2,337,669	74.8%
Blended Property Rate per \$100 of Exposure	\$0.17	\$0.17	\$0.21	22.6%
Property Premium	\$2,275	\$3,976	\$4,874	22.6%
Total Package Premium	\$21,966	\$28,589	\$30,126	5.4%

Renewal Summary

Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change Option I
<u>T5DC Business Auto</u>				
Insurer	Valley Forge Insurance Company (CNA)	Valley Forge Insurance Company (CNA)	Valley Forge Insurance Company (CNA)	N/A
Hired Auto (Rental Expenditures)	28,800	28,800	28,800	0.0%
Total Premium	\$3,290	\$3,290	\$1,734	-47.3%
<u>T5DC Umbrella</u>				
Insurer	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	N/A
Exposure Base - Underlying Premium	\$22,981	\$27,904	\$26,986	-3.3%
Rate as Percentage of Underlying Premium	83.66%	83.66%	82.13%	-1.8%
Total Premium	\$19,225	\$23,343	\$22,163	-5.1%
<u>T5DC Excess Liability</u>				
Insurer	Travelers Property Casualty Company of America	Travelers Property Casualty Company of America	Travelers Property Casualty Company of America	N/A
Exposure Base - Underlying Umbrella Premium	\$19,225	\$23,343	\$23,343	0.0%
Rate as Percentage of Underlying Premium	195.60%	195.60%	118.99%	-39.2%
Total Premium	\$37,605	\$45,660	\$27,775	-39.2%
T5 Data Centers Program Cost	\$82,086	\$100,883	\$81,798	-18.9%

Renewal Summary

Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change Option I
Shared Policies				
<u>Technology Errors & Omissions</u>				
Insurer	Beazley	Beazley	Beazley	Beazley
Exposure Base - Current 12 Months Revenue	\$146,500,000	\$287,101,547	\$287,101,547	96.0%
Blended Rate per \$100 of Exposure	\$0.09	\$0.09	\$0.06	-35.0%
Total Premium	\$134,680	\$263,937	\$171,600	-35.0%
<u>Excess Technology Errors & Omissions</u>				
Insurer	Indian Harbor Insurance Company (AXA XL)	Indian Harbor Insurance Company (AXA XL)	Indian Harbor Insurance Company (AXA XL)	N/A
Underlying Policy Premium	\$129,500	\$253,786	\$165,000	96.0%
Blended Rate as Percentage of Underlying Premium	90.00%	90.00%	80.00%	-11.1%
Total Premium	\$121,212	\$237,544	\$137,280	-42.2%
<u>Workers Compensation</u>				
Insurer	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	American Casualty Company Of Reading, PA	N/A
Exposure Base - Payroll	\$21,441,092	\$24,229,654	\$24,229,654	13.0%
Blended Rate per \$100 of Exposure	\$0.41	\$0.41	\$0.45	8.4%
Total Premium	\$89,813	\$101,494	\$109,999	8.4%

Renewal Summary

Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change
				Option I
<u>Workers Compensation - CA Only</u>				
Insurer	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	The Continental Insurance Company (CNA)	N/A
Exposure Base - Payroll	\$757,451	\$1,000,000	\$1,000,000	32.0%
Blended Rate per \$100 of Exposure	\$0.44	\$0.44	\$0.80	81.1%
Total Premium	\$3,542	\$4,676	\$8,464	81.0%

Renewal Summary

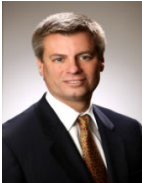
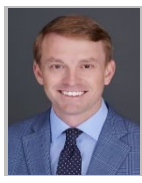
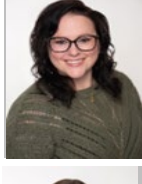
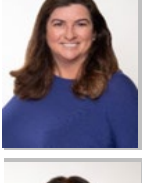
Coverage	Expiring Program	Expiring Adjusted	Renewal Option I: Incumbent	% Change
				Option I
<u>Business Travel Accident</u>				
Insurer	Zurich American Insurance Company	Zurich American Insurance Company	Zurich American Insurance Company	N/A
Total Number of Employees to be Covered	484	234	234	-51.7%
# of Employees Who Travel 50+ Days	15	15	15	0.0%
Total Premium	\$3,919	\$2,907	\$3,173	9.2%
Shared Program Total Cost	\$353,166	\$610,558	\$430,516	-29.5%
T5 Construction Total Cost	\$235,028	\$356,920	\$236,330	-33.8%
T5 Data Centers Total Cost	\$82,086	\$100,883	\$81,798	-18.9%
Total Insurance Program Cost	\$670,280	\$1,068,361	\$748,644	-29.9%

Notes:

- % change compares expiring vs. renewal exposure and expiring adjusted vs. renewal rates and premiums
- Rates are shown for analysis purposes only
- Above premiums include surplus lines taxes and fees where applicable
- T5DC's expiring Excess Liability policy has been annualized for comparison purposes. Expiring policy term was 10/25/22 - 7/1/23 for \$25,825 in premium.
- Renewal Option for T5CS Professional/Pollution policy is based on a 3-Year Average of Construction Revenue.

Greyling Service Team

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Client Service Team for T5 Construction Services, LLC & T5 Data Centers, LLC

Team Member		Role	Contact Information
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